

ECON 0100 | Vignette C2 | Taxes

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

The demand curve for pumpkin pasties can be represented by:

$$P = 17 - \frac{1}{6}Q$$

The supply curve for pumpkin pasties can be represented by the equation:

$$P = 2 + \frac{2}{3}Q$$

Q1 | Somethin's Up With Pumpkins

After years of careful epidemiological analysis, a subcommittee of the Ministry tasked with improving the health and wellbeing of the wizarding community published a story in the Daily Profit establishing a link between the consumption of pumpkin pasties and accidental magical spell casting by wizards and witches in public areas, with many cases of innocent muggles being nearly injured. To address these obvious public health concerns, the fiscal arm of the Ministry imposed a 2 galleon tax on the sale of pumpkin pasties, and reinvested the revenues into researching a magical remedy for this diet-driven ailment.* Use a graph to illustrate the impact this tax had on the market and suggest a value to the tax.

- a) Eq. Price (pre-tax): _____ Eq. Price (post-tax): _____
- b) Eq. Quant (pre-tax): _____ Eq. Quantity (post-tax): _____
- c) CS (post-tax): _____ Δ CS: _____
- d) PS (post-tax): _____ Δ PS: _____
- e) DWL: _____

**Note: assume there are no externalities, which we'll cover next week; pumpkin pasties are a private good; the market is competitive.*